

Depositor Discipline in Community Banking: Evidence from the CECL Information Shock

Summary

This manuscript exploits the mandatory CECL Day-One retained-earnings adjustment for community banks in 2023Q1 as an information shock to test whether uninsured depositors discipline banks in response to credit-risk disclosures outside of crisis periods. The paper reports that high-CECL banks experienced contractions in uninsured time deposits, higher funding costs, and lower profitability, with effects amplified among banks serving financially sophisticated depositors.

The question is important and the identification strategy is creative. However, my view is that the paper suffers from significant weaknesses in the validity of the natural experiment, the interpretation of the central mechanism, the construction of key variables, and the adequacy of robustness checks.

Major Comments

1. Identification challenges

The central identification claim is that the CECL Day-One adjustment is predetermined relative to 2023 deposit dynamics. This argument appears in my view heroic and overstated in several respects.

First, the CECL standard was finalized in 2016 and its adoption timeline for community banks was well known years in advance. Thus, banks as well as their depositors had ample time to anticipate which institutions would face large adjustments. The study controls for lagged interest expense and includes bank fixed effects, but these do not address the possibility that large depositors gradually reallocated ahead of the formal adoption date. The event-study pre-trends shown in Figure 4 appear flat, but the pre-period begins only in 2020Q3, after the COVID disruption. This means any gradual pre-positioning that began in 2020–2021 in response to the known standard would be absorbed into the bank fixed effects and would not show up as a violation of parallel trends in the truncated window. The paper should show pre-trends extending further back—ideally to 2018 or 2019—or provide a compelling argument for why earlier data are unavailable (which is unlikely) or uninformative (for what reason).

Second, the authors acknowledge that the adjustment reflects "the cumulative composition of the loan portfolio as it stood on the adoption date." But loan portfolios reflect ongoing origination decisions through 2022. A bank that was actively building a riskier loan book in 2021–2022 would simultaneously have a larger CECL adjustment and a depositor base that was already adjusting to deteriorating fundamentals. The low R^2 in Table 2 is presented as evidence of exogeneity, but it is equally consistent with substantial omitted variable bias that is simply not captured by the included observables. The study needs to address this more rigorously—for example, by showing that the residual variation in CECL Adj, after removing the predicted component from Table 2, generates similar results to the baseline.

2. The SVB confound is inadequately addressed.

The paper's primary adoption quarter (2023Q1) coincides with the failures of Silicon Valley Bank and Signature Bank in March 2023. The three-part defence is the weakest part of the paper.

The first argument—that the 2023 stress was driven by securities losses rather than credit risk, and that securities losses are uncorrelated with CECL exposure—is plausible for the direct shock channel but ignores the indirect channel. The SVB episode triggered a broad reassessment of uninsured deposit risk at (community) banks, and depositors may have been more alert to monitor any institution whose recently disclosed financials suggested weaker-than-expected fundamentals, regardless of whether

those weaknesses involved securities losses or credit losses. A large CECL adjustment, disclosed in the same quarter as the SVB failure, could have served as a negative signal not because depositors understood its credit-risk content but simply because it was new negative news appearing simultaneously with a generalized perception of greater risk in the banking industry.

Second, the claim that calendar-quarter fixed effects absorb the aggregate shock is correct but insufficient. Calendar-quarter fixed effects remove the average effect across all community banks in 2023Q1. They do not remove a differential effect that is correlated with CECL exposure through any channel other than the information mechanism the authors have in mind. If the SVB-induced heightened scrutiny fell disproportionately on banks with any recent negative disclosure, the treatment effect would be inflated even after quarter fixed effects.

3. Concerns about the signal-validation exercise

The manuscript acknowledges that the large-bank 2020 cohort adopted CECL simultaneously with the COVID-19 onset, and there is an acknowledgement that this "prevents cleanly attributing the adoption-month movement to CECL alone." However, the framing in the abstract and introduction presents the market-cap and CDS results more definitively than the body of the paper justifies. The language in the introduction describing CDS spreads widening "approximately 191 basis points per unit of CECL exposure" reads as an established finding, not a suggestive result contaminated by a confound of the same order of magnitude as the identification problem being studied. The signal-validation section should either be strengthened with a cleaner identification approach or more clearly demoted to suggestive background evidence. As currently written, it creates an inconsistency between the caution in Section 5.5 and the confidence in the abstract.

4. Fragility of depositor sophistication results

The sophistication split is the paper's most novel heterogeneity test, but the results are internally inconsistent in ways that require explanation. The quantity effect (Panel A of Figure 6) shows a visually compelling separation in the event study between high- and low-sophistication banks, but the corresponding triple-interaction coefficient is -0.022 with a standard error of 0.468 —statistically indistinguishable from zero. The authors explain this as the result of gradual buildup averaging over early and late post-adoption periods, which is a reasonable observation, but it means the primary evidence for the sophistication-quantity channel is visual rather than statistical. The price and profitability channels (Panels C and D) do yield significant triple-interaction coefficients, but their magnitudes are large relative to the baseline effects, which warrants comment. The ROA drag attributable to the sophistication interaction alone (approximately 30 basis points annually) exceeds the baseline ROA drag from Table 5 (approximately 15 basis points), which is difficult to reconcile unless high-sophistication banks represent a subset with particularly severe effects and low-sophistication banks show essentially no baseline effect.

Furthermore, the sophistication index construction introduces endogeneity concerns that are not addressed. The index is constructed from 2022 branch-level deposit weights merged to 2022 ACS data. Deposit weights at the branch level may themselves reflect prior depositor responses to bank quality, introducing reverse causality into the subgroup classification.

5. Mechanical relation of treatment and outcome studied

CECL Adj is scaled by pre-adoption equity. Banks with lower equity ratios will mechanically have larger CECL Adj for any given absolute allowance change. Lower-equity banks are also more likely to have experienced prior deposit pressure, are less resilient to funding shocks, and would in equilibrium

have fewer uninsured deposits regardless of CECL. While the bank fixed effects absorb level differences and the controls include the equity-to-assets ratio, the interaction of Post with a variable that partly reflects pre-existing capital vulnerability may be picking up differential adjustment to the rate environment among capital-constrained banks rather than a CECL information effect. The authors should show robustness to scaling the Day-One adjustment by total assets or loan balances rather than equity, and should discuss the implications of the equity denominator for the interpretation of CECL Adj as an information variable.

6. Validation of parallel-trends assumption

The event-study window is constrained to begin in 2020Q3 to "follow the COVID-19 disruption quarters." This truncation is understandable but it creates a pre-period of only ten quarters, compared with a post-period that extends at least ten quarters. The COVID-19 quarters themselves, 2020Q1–2020Q2, arguably contained information about which banks had riskier loan portfolios through differential NPL realizations and forbearance usage. Excluding these quarters from the pre-trend test may be too convenient. At minimum, the manuscript should show what happens to pre-trend coefficients if the COVID quarters are included, even with a caveat.

8. No discussion of bank lending activity

If high-CECL banks faced higher funding costs and lower profitability, theory predicts they would tighten credit supply. The absence of any lending-side analysis is a significant gap, especially given that Granja and Nagel (2025) is cited for exactly this channel. A brief analysis of loan growth at high- versus low-CECL banks post-adoption would round out the paper's account of the real consequences of the information shock.

Minor issues

- Table 1 reports that High-CECL and Low-CECL banks have statistically indistinguishable uninsured time deposit shares at baseline, but also shows that High-CECL banks have significantly higher insured time deposits. The discussion of the insured deposit results in Section 6.1 does not adequately account for this baseline asymmetry.
- The event-study in Figure 4 shows that for the High CECL binary specification, the insured time deposit coefficients are negative and large (approximately -0.5 to -0.7) for several pre-adoption quarters before reverting near the reference period. This is not commented upon in the text and is inconsistent with the parallel-trends narrative.
- The triple-difference specification in Section 6.1 omits the level interactions of $\text{Post} \times \text{CECL}$ and CECL alone from the reported table (Table 4), making it difficult to verify the specification is fully saturated. These should be reported or the omission explained.
- The paper should include a more explicit discussion of the mechanism by which community bank depositors—many of whom are small businesses or municipalities—actually observe and process Call Report disclosures. The assumption that the CECL adjustment is a salient information event for these depositors is foundational to the paper's interpretation but receives only brief theoretical support.
- Insufficient discussion of economic magnitudes.